

Paradiem

The Morning Brief

JUNE 6, 2026

Tech Routed

Week in Review: A 172K May payrolls beat broke the AI multiple Friday, with the Nasdaq printing its largest single-session decline since April 2025.

S&P 500 (FRI CLOSE)	NASDAQ (FRI CLOSE)	UVXY (VIX PROXY)	BITCOIN (LIVE)	FEAR & GREED
\$737.55 · ↓2.58%	\$705.06 · ↓4.80%	\$30.68 · ↑11.00%	~\$61K per CoinDesk ·	12 · Extreme Fear
Friday	Friday	Friday	~↓14% wk	

SECTION 01

Markets — Week in Review

MAY PAYROLLS PRINTED AT ↑172K VERSUS AN 85K CONSENSUS PER BLS AND CNBC, REVERSING THE “COOLING LABOR” SEQUENCE THAT HAD ANCHORED THE PRE-PRINT SETUP — THE 10-YEAR TREASURY YIELD ROSE APPROXIMATELY 5 BASIS POINTS TO 4.534% PER CNBC, THE NASDAQ PROXY CLOSED ↓4.80% (ITS LARGEST SINGLE-SESSION DECLINE SINCE APRIL 2025 PER THESTREET), AND THE AI SUPPLIER COMPLEX DE-RATED MATERIALLY ACROSS MRVL, AMD, QCOM, LRCX, AND NVDA

Per BLS reporting Friday, May nonfarm payrolls increased ↑172K against an 85K Reuters consensus (80K Dow Jones) per CNBC, the unemployment rate held at 4.3% for a third consecutive month, and prior-month revisions added 93K jobs (March +29K to 214K, April +64K to 179K). The upside surprise broke the “hot growth, cooling labor” framing that had governed the pre-print setup and re-engaged the rate-path debate. Per CNBC, the 10-year yield jumped approximately 5 basis points to 4.534% on the print; per CME FedWatch coverage cited by multiple outlets, the June 16–17 FOMC is now pricing near 97–99% hold probability, with the September meeting carrying the remaining cut odds. The cash session reaction concentrated in the AI supplier complex: per the data drop, MRVL closed ↓16.74% to \$263.47, QCOM ↓10.98% to \$215.94, AMD ↓10.86% to \$466.38, LRCX ↓9.85% to \$303.28, NXPI ↓8.15% to \$295.96, TSM ↓6.69% to \$415.17, and NVDA ↓6.20% to \$205.10 — the de-rating extended the AVGO post-print template from Thursday into the broader supplier base. The defensive complex carried the only green tally: Staples (XLP ↑1.71%), Utilities (XLU ↑0.93%), Real Estate (XLRE ↑0.68%), Healthcare (XLV ↑0.61%), and Financials (XLF ↑0.21%); Tech (XLK ↓6.66%) led the laggards by a meaningful margin. UVXY ↑11.00% to \$30.68 captured the positioning shock.

MAY NONFARM PAYROLLS	↑172K vs 85K est per BLS/CNBC
UNEMPLOYMENT RATE	4.3% · Held 3rd month per BLS
PRIOR-MONTH REVISIONS	+93K combined (Mar/Apr) per BLS
10-YR YIELD (FRI)	~4.534% · ↑~5 bps per CNBC
NASDAQ PROXY (FRI)	\$705.06 · ↓4.80% per data drop
TECH (XLK FRI)	↓6.66% · MRVL ↓16.74%, AMD ↓10.86%
DEFENSIVE TALLY (FRI)	XLP, XLU, XLRE, XLV, XLF green
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untouched (Fri low \$735.52)

GOLD DE-RATED WITH THE TECH COMPLEX ON FRIDAY, WITH GLD ↓3.65% AND SLV ↓8.08% PER THE DATA DROP — THE MOVE WAS CONSISTENT WITH RATE-PATH RE-PRICING RATHER THAN A CLEAN RISK-OFF ROTATION, AND THE FOMC BLACKOUT BEGINS TODAY AHEAD OF CHAIR WARSH'S DEBUT MEETING ON JUNE 16–17 PER MULTIPLE OUTLETS, WITH CPI ON WEDNESDAY JUNE 10 NOW CARRYING OUTSIZED WEIGHT

Per the data drop, Gold (GLD ↓3.65% to \$396.24) and Silver (SLV ↓8.08% to \$61.57) both de-rated alongside equities

Friday, an unusual pairing that historically tends to reflect a positioning unwind tied to rising real yields rather than a defensive rotation. WTI (USO ↓2.72%) and Brent (BNO ↓2.44%) gave back into the session, though Brent remained higher on the week per CNBC coverage on continued Hormuz tension. The FOMC blackout window now binds through the June 16–17 meeting per CME FedWatch context — Chair Kevin Warsh's debut press conference and the updated dot plot will sit against a tape that has compressed cut expectations to near zero for the year. The May CPI release Wednesday June 10 at 7:30 AM CT per the BLS release schedule now carries outsized weight: a print consistent with the Beige Book's flagged inflation pickup would reinforce the Friday move; a softer print would partially counterweight the labor-side strength. The committee's dividend backbone — CL ↑4.09% to \$88.58, CHD ↑2.78% to \$96.74, ORI ↑2.61%, DGX ↑2.13%, GD ↑1.45%, SYK ↑1.48%, LMT ↑0.91% — carried the green tally and validated the rotation into durable cash-flow names.

A session where the AI supplier complex de-rated 10%+ on an upside payrolls surprise, gold and silver de-rated in lockstep with tech, and the dividend backbone carried the only green tally is the cleanest rotation signal of the year. Avoid Erosion.

Geopolitics

THE US CONDUCTED STRIKES AGAINST IRANIAN RADAR SITES FRIDAY IN RESPONSE TO AN IRANIAN DRONE LAUNCH PER REUTERS — IRAN ALSO LAUNCHED MULTIPLE DRONES TOWARD THE STRAIT OF HORMUZ PER CNN VIA REUTERS, WHILE US SPECIAL ENVOY STEVE WITKOFF AND JARED KUSHNER MET WITH NUCLEAR EXPERTS AT A NATIONAL LAB IN TENNESSEE PER REUTERS, SUGGESTING THE DIPLOMATIC TRACK HAS NOT BEEN ABANDONED DESPITE THE LATEST GULF FLARE-UP

Per Reuters reporting Friday, the United States conducted “self-defence” strikes on Iranian radar infrastructure (including reported activity on Qeshm Island per Al Jazeera coverage of the broader conflict) in response to an Iranian drone launch, marking the latest flare-up in the now ninety-six-day-plus US-Israel campaign against Iran per Al Jazeera coverage. Per Reuters separately, Iran launched multiple drones toward the Strait of Hormuz overnight, which the US and allied air defenses intercepted; Kuwait activated air-defense systems and Bahrain triggered warning sirens per Reuters reporting earlier in the week. The diplomatic counterweight per Reuters Friday: US Special Envoy Steve Witkoff and Jared Kushner met with nuclear experts at a national laboratory in Tennessee, suggesting the technical track on nuclear material remains active even as the political readouts have diverged. President Trump, campaigning for Republicans in Wisconsin per Reuters, vowed a quick end to the Iran war; US Energy Secretary Wright separately stated per Reuters that sustained lower US gasoline prices will ultimately require a resolution with Iran. The asymmetric framing — military strikes alongside continued back-channel technical discussions — mirrors the patterns of late-stage proxy conflicts where neither side has yet accepted the political cost of a comprehensive deal.

THE ISRAEL-LEBANON CEASEFIRE IMPLEMENTATION FRAMEWORK REMAINS CONTESTED WITH HEZBOLLAH LEADER NAIM QASSEM PER CNN COVERAGE CALLING THE TERMS A “SURRENDER,” WHILE IRAN THREATENED TO WITHDRAW FROM US TALKS IF ISRAEL STRIKES BEIRUT PER AL JAZEERA — THE TRACKS ARE SCHEDULED TO RECONVENE THE WEEK OF JUNE 22 PER PRIOR STATE DEPARTMENT COVERAGE, BUT THE FRIDAY STRIKES MATERIALLY RAISE THE BAR FOR THAT WINDOW

Per CNN reporting late this week, Hezbollah leader Naim Qassem characterized the Lebanon ceasefire implementation terms — which require complete cessation of Hezbollah fire and removal of operatives from southern Lebanon — as effectively a surrender, framing Hezbollah’s rejection of the asymmetric framework that has anchored the past week’s diplomatic activity. Per Al Jazeera, Iran has threatened to withdraw entirely from US bilateral talks if Israeli strikes on Beirut continue, complicating the Witkoff-Kushner technical track on nuclear material. The political and security tracks remain scheduled to reconvene the week of June 22 per prior State Department communication, but Friday’s US strikes on Iranian radar sites and the renewed Hormuz drone activity materially raise the bar for that window. For FCI energy and

defense exposure: per the data drop, CVX ↓0.55% to \$187.31, VLO ↓1.17% to \$255.82, DVN ↓3.72% to \$44.28 (the new dividend-sleeve energy name post-Coterra/Devon merger), and OKE ↓0.79% to \$88.25 gave back modestly into the broad risk-off Friday, while LMT ↑0.91% to \$523.76 and GD ↑1.45% to \$346.44 diverged green — the defense backlog story tends to be priced through the structural disruption scenario rather than any single-session de-escalation.

US IRAN STRIKES (FRI)	Radar sites hit per Reuters
IRAN DRONE ACTIVITY (FRI)	Toward Hormuz per CNN/Reuters
WITKOFF/KUSHNER TRACK	Tennessee nuclear lab meeting per Reuters
HEZBOLLAH POSITION	Ceasefire terms rejected per CNN
IRAN POSITION	Threat to halt talks per Al Jazeera
TRACKS RECONVENE	Week of June 22 per State Dept
LMT · GD (FRI)	↑0.91% · ↑1.45% on rotation
DVN (FRI)	\$44.28 · ↓3.72%

On Our Radar

1. Week Ahead — May CPI prints Wednesday June 10 at 7:30 AM CT per the BLS release schedule, the final pre-FOMC inflation read before the June 16–17 meeting. Apple’s WWDC 2026 keynote opens Monday June 8 at 12:00 PM CT per Apple Developer, with iOS 27, an updated Siri, and Apple Intelligence expansion among expected announcements per Tom’s Guide and MacRumors coverage. May PPI follows Thursday June 11 per BLS. Per CNBC coverage of the May employment situation, the 172K beat materially compressed the rate-cut window for the remainder of 2026 — per CME FedWatch context cited by multiple outlets, June 16–17 is now near 97–99% hold, and the September meeting carries the remaining cut odds. A CPI print consistent with the Beige Book’s flagged inflation pickup would reinforce Friday’s yield move; a softer print would partially counterweight the labor strength. FCI’s dividend backbone — ABT, ADP, CL, CHD, GD, LMT, SYK — carried Friday’s green tally and is positioned to compound through whichever way the macro window resolves. *Avoid Erosion.*

2. The AI Supplier De-Rating Was the Cleanest Sector Signal of 2026 to Date, With MRVL ↓16.74% to \$263.47, AMD ↓10.86% to \$466.38, QCOM ↓10.98% to \$215.94, LRCX ↓9.85% to \$303.28, NXPI ↓8.15%, TSM ↓6.69% to \$415.17, NVDA ↓6.20% to \$205.10, and CRDO ↓4.88% to \$206.89 per the data drop. The pattern that began with CRDO’s post-print decline May 30 and extended through AVGO Thursday now reads as a sector-wide multiple compression rather than a name-specific reaction — the AI supplier complex has demonstrably entered a phase where in-line forward guidance against an elevated multiple produces an outsized downside reaction, and Friday’s rate-path repricing extended the dynamic across the entire supplier base. Per Yahoo coverage Friday on MRVL’s addition to the S&P 500, the index inclusion catalyst that would normally drive flows was overwhelmed by the macro re-pricing. For FCI, the structural demand thesis remains intact — underlying capex commentary across hyperscalers has not changed — while at-multiple valuation sensitivity is now the binding near-term risk. The forward-guide cadence has demonstrably become the dominant factor across the supplier base. *Research Reveals Opportunities.*

3. The Crypto De-Rating Accelerated With Bitcoin Trading Near \$61K Friday Evening per CoinDesk and BlockchainReporter, the 13-Day Spot ETF Outflow Streak Reaching \$4.4B Cumulative per BlockchainReporter Coverage, and ETHA ↓11.35% to \$11.87 Versus IBIT ↓5.22% to \$34.14 on the Day per the Data Drop.

Ethereum exposure took the materially larger drawdown across digital asset ETFs, an asymmetry that warrants monitoring. The crypto-adjacent equity sleeve compressed with the move: HUT ↓12.15% to \$112.24 (after a \$4.25B senior secured notes offering per Benzinga for a 352-megawatt Texas data center), MARA ↓11.24% to \$12.32, COIN ↓7.15% to \$152.40, HOOD ↓6.63% to \$82.47. Per Coinbase coverage in the prep, the company closed the first Bitcoin-backed Fannie Mae mortgage with Better per Yahoo — a structural integration step that warrants tracking against the near-term price weakness. FCI's IBIT and ETHA positions sit against an institutional re-pricing rather than a thesis-breaking move, but the persistence of the outflow streak and the ETHA asymmetry warrants continued monitoring. *Simplicity Over Complexity.*

4. The Iran Framework Re-Escalated Friday With US Strikes on Iranian Radar Sites per Reuters and Iranian Drone Activity Toward the Strait of Hormuz per CNN, Even as the Witkoff-Kushner Technical Track Continued at a Tennessee National Lab per Reuters.

Brent (BNO ↓2.44% to \$51.20) and WTI (USO ↓2.72% to \$133.02) compressed Friday on the broad risk-off, though Brent remained higher on the week per CNBC. The FCI energy sleeve gave back into the move with CVX ↓0.55%, VLO ↓1.17%, and DVN ↓3.72% to \$44.28 (the new dividend-sleeve energy name post-Coterra/Devon merger per the prior repo commit) all consolidating; defense diverged green with LMT ↑0.91% and GD ↑1.45%. Per the European Commission via Reuters earlier in the week, the 1.3 million jobs estimate continues to frame the structural cost picture; the OECD's flagged prolonged-disruption scenario through late 2027 in the adverse case anchors the energy sleeve's positioning underneath the near-term price compression. **The physical world matters.**

5. Carson's Active SPY \$645.80 Support Remained Untouched Friday With the SPY Proxy Printing an Intraday Low of \$735.52 per the Data Drop — the Level Sits Approximately 12.4% Below Friday's Close at \$737.55 and Remains the Committee's Framework for a Sustained Retracement Scenario Rather Than an Actionable Near-

Term Marker. The Fear & Greed reading at 12 (Extreme Fear) per the data drop against Friday's 2.58% S&P decline and 4.80% Nasdaq decline frames a tape where sentiment was already compressed into the move — the divergence has now resolved partially through price rather than through sentiment release. Historically, broad de-ratings

on a single macro catalyst (rather than on cumulative deterioration) tend to either reverse partially within several sessions on positioning resets or extend if the next macro print confirms the rate-path shift; Wednesday's CPI is therefore the binding follow-on. The committee's dividend backbone carried the Friday green tally and continues to compound through whichever way the CPI window resolves. *Research Reveals Opportunities.*